

departments of large banking institutions, and the like.* A third extraordinary fact was that the founder-manager of Manhattan Fund sold his stock in a separately organized management company to another large concern for over \$20 million in its stock; at that time the management company sold had less than \$1 million in assets. This is undoubtedly one of the greatest disparities of all times between the results for the “manager” and the “managees.”

A book published at the end of 1969² provided profiles of nineteen men “who are tops at the demanding game of managing billions of dollars of other people’s money.” The summary told us further that “they are young... some earn more than a million dollars a year...they are a new financial breed...they all have a total fascination with the market...and a spectacular knack for coming up with winners.” A fairly good idea of the accomplishments of this top group can be obtained by examining the published results of the funds they manage. Such results are available for funds directed by twelve of the nineteen persons described in *The Money Managers*. Typically enough, they showed up well in 1966, and brilliantly in 1967. In 1968 their performance was still good in the aggregate, but mixed as to individual funds. In 1969 they all showed losses, with only one managing to do a bit better than the S & P composite index. In 1970 their comparative performance was even worse than in 1969.

We have presented this picture in order to point a moral, which perhaps can best be expressed by the old French proverb: *Plus ça change, plus c’est la même chose*. Bright, energetic people—usually quite young—have promised to perform miracles with “other people’s money” since time immemorial. They have usually been able to do it for a while—or at least to appear to have done it—and they have inevitably brought losses to their public in the end.* About a half century ago the “miracles” were often accompanied by flagrant manipulation, misleading corporate reporting, outrageous capitalization structures, and other semifraudulent financial practices. All this brought on an elaborate system of financial controls by the SEC, as well as a cautious attitude toward common stocks on the part of the general public. The operations of the new “money managers” in 1965–1969 came a little more than one full generation after the shenanigans of 1926–1929.[†] The specific malpractices banned after the 1929 crash were no longer resorted to—they involved the risk of jail sentences. But in many corners of Wall Street they were replaced by newer gadgets and gimmicks